
Taking Preferences Seriously: A Liberal Theory of International Politics

Andrew Moravcsik

This article reformulates liberal international relations (IR) theory in a nonideological and nonutopian form appropriate to empirical social science. Liberal IR theory elaborates the insight that state-society relations—the relationship of states to the domestic and transnational social context in which they are embedded—have a fundamental impact on state behavior in world politics. Societal ideas, interests, and institutions influence state behavior by shaping state preferences, that is, the fundamental social purposes underlying the strategic calculations of governments. For liberals, the configuration of state preferences matters most in world politics—not, as realists argue, the configuration of capabilities and not, as institutionalists (that is, functional regime theorists) maintain, the configuration of information and institutions. This article codifies this basic liberal insight in the form of three core theoretical assumptions, derives from them three variants of liberal theory, and demonstrates that the existence of a coherent liberal theory has significant theoretical, methodological, and empirical implications. Restated in this way, liberal theory deserves to be treated as a paradigmatic alternative empirically coequal with and analytically more fundamental than the two dominant theories in contemporary IR scholarship: realism and institutionalism.

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Grounding liberal theory in a set of core social scientific assumptions helps overcome a disjuncture between contemporary empirical research on world politics and the language employed by scholars to describe IR as a field. Liberal hypotheses stressing variation in state preferences play an increasingly central role in IR scholarship. These include explanations stressing the causal importance of state-society relations as shaped by domestic institutions (for example, the “democratic peace”), by economic interdependence (for example, endogenous tariff theory), and by ideas about national, political, and socioeconomic public goods provision (for example, theories about the relationship between nationalism and conflict). Liberal hypotheses do not include, for reasons clarified later, functional regime theory. Yet the conceptual language of IR theory has not caught up with contemporary research. IR theorists continue to speak as if the dominant theoretical cleavage in the field were the dichotomy between realism and (“neoliberal”) institutionalism. The result: liberal IR theory of the kind outlined earlier is generally ignored as a major paradigmatic alternative.

Worse, its lack of paradigmatic status has permitted critics to caricature liberal theory as a normative, even utopian, ideology. Postwar realist critics such as Hans Morgenthau and E. H. Carr took rhetorical advantage of liberalism’s historical role as an ideology to contrast its purported altruism (“idealism,” “legalism,” “moralism,” or “utopianism”) with realism’s “theoretical concern with human nature as it actually is [and] historical processes as they actually take place.”¹ Forty years later, little has changed. Robert Gilpin’s influential typology in international political economy juxtaposes a positive mercantilist view (“politics determines economics”) against a narrower and conspicuously normative liberal one (“economics *should* determine politics”). Kenneth Waltz, a realist critic, asserts that “if the aims . . . of states become matters of . . . central concern, then we are forced back to the descriptive level; and from simple descriptions no valid generalizations can be drawn.”²

Liberals have responded to such criticisms not by proposing a unified set of positive social scientific assumptions on which a nonideological and nonutopian liberal theory can be based, as has been done with considerable success for realism and institutionalism, but by conceding its theoretical incoherence and turning instead to intellectual history. It is widely accepted that any nontautological social scientific theory must be grounded in a set of positive assumptions from which arguments, explanations, and predictions can be derived.³ Yet surveys of liberal IR theory either collect disparate views held by “classical” liberal publicists or define liberal theory teleologically, that is, according to its purported optimism concerning the potential for peace, cooperation, and international institutions in world history. Such studies offer an indispensable source of theoretical and normative inspiration. Judged by the more narrowly social scientific criteria adopted here, however, they do not justify reference to a distinct “liberal” IR theory.

Leading liberal IR theorists freely concede the absence of coherent microfoundational assumptions but conclude therefrom that a liberal IR theory in the social scien-

1. See Morgenthau 1960, 4; Keohane 1989, 68, n. 17; and Howard 1978, 134.

2. See Waltz 1979, 65, 27; Gilpin 1975, 27 (emphasis in original); and Gilpin 1987.

3. See Bueno de Mesquita 1996, 64–65; and Keohane 1986.

tific sense *cannot* exist. Robert Keohane, an institutionalist sympathetic to liberalism, maintains that “in contrast to Marxism and Realism, Liberalism is not committed to ambitious and parsimonious structural theory.” Michael Doyle, a pioneer in analyzing the “democratic peace,” observes that liberal IR theory, unlike others, lacks “canonical” foundations. Mark Zacher and Richard Matthew, sympathetic liberals, assert that liberalism should be considered an “approach,” not a theory, since “its propositions cannot be . . . deduced from its assumptions.”⁴ Accurate though this may be as a characterization of intellectual history and current theory, it is second-best social science.

I seek to move beyond this unsatisfactory situation by proposing a set of core assumptions on which a general restatement of positive liberal IR theory can be grounded. In the first section of the article I argue that the basic liberal insight about the centrality of state-society relations to world politics can be restated in terms of three positive assumptions, concerning, respectively, the nature of fundamental social actors, the state, and the international system.

Drawing on these assumptions, I then elaborate three major variants of liberal theory—each grounded in a distinctive causal mechanism linking social preferences and state behavior. Ideational liberalism stresses the impact on state behavior of conflict and compatibility among collective social values or identities concerning the scope and nature of public goods provision. Commercial liberalism stresses the impact on state behavior of gains and losses to individuals and groups in society from transnational economic interchange. Republican liberalism stresses the impact on state behavior of varying forms of domestic representation and the resulting incentives for social groups to engage in rent seeking.⁵

Finally, I demonstrate that the identification of coherent theoretical assumptions is not simply an abstract and semantic matter. It has significant methodological, theoretical, and empirical implications. The utility of a paradigmatic restatement should be evaluated on the basis of four criteria, each relevant to the empirical researcher: superior parsimony, coherence, empirical accuracy, and multicausal consistency.

First, a theoretical restatement should be *general and parsimonious*, demonstrating that a limited number of microfoundational assumptions can link a broad range of previously unconnected theories and hypotheses. This restatement does so by showing how *liberalism provides a general theory of IR linking apparently unrelated areas of inquiry*. The theory outlined here applies equally to liberal and nonliberal states, economic and national security affairs, conflictual and nonconflictual situations, and the behavior both of individual states (“foreign policy”) and of aggregations of states (“international relations”). Liberal theory, moreover, explains important phenomena overlooked by alternative theories, including the substantive content of foreign policy, historical change, and the distinctiveness of interstate relations among modern Western states.

4. See Keohane 1990, 166, 172–73; Doyle 1986, 1152; Zacher and Matthew 1992, 2; Matthew and Zacher 1995, 107–11, 117–20; Hoffmann 1987, 1995; and Nye 1988.

5. For other such distinctions, see Keohane 1990; and Doyle 1983.

Second, a theoretical restatement should be *rigorous and coherent*, offering a clear definition of its own boundaries. This restatement does so by demonstrating that *institutionalist theories of regimes—commonly treated as liberal due to ideological and historical connotations—are in fact based on assumptions closer to realism than to liberalism*. This helps to explain why IR theorists have found it difficult to distill a set of coherent microfoundational assumptions for liberal theory.

Third, a theoretical restatement should *demonstrate empirical accuracy vis-à-vis other theories*; it should expose anomalies in existing work, forcing reconsideration of empirical findings and theoretical positions. This restatement of liberal theory meets this criterion by *revealing significant methodological biases in empirical evaluations of realist theories of “relative gains-seeking” and constructivist analyses of ideas and IR due to the omission of liberal alternatives*. If these biases were corrected, liberal accounts might well supplant many widely accepted realist and institutionalist, as well as constructivist, explanations of particular phenomena in world politics.

Fourth, a theoretical restatement should *demonstrate multicausal consistency*. By specifying the antecedent conditions under which it is valid and the precise causal links to policy outcomes, a theory should specify rigorously how it can be synthesized with other theories into a multicausal explanation consistent with tenets of fundamental social theory. This restatement does so by reversing the nearly universal presumption among contemporary IR theorists that “systemic” theories like realism and institutionalism should be employed as an analytical “first cut,” with theories of “domestic” preference formation brought in only to explain anomalies—a prescription that is both methodologically biased and theoretically incoherent. In its place, this restatement dictates the reverse: *Liberal theory is analytically prior to both realism and institutionalism because it defines the conditions under which their assumptions hold*.

If this proposed reformulation of liberal IR theory meets these four criteria, as I argue it does, there is good reason to accord it a paradigmatic position empirically coequal with and analytically prior to realism and institutionalism, as well as constructivism, in theory and research on world politics.

Core Assumptions of Liberal IR Theory

Liberal IR theory’s fundamental premise—that the relationship between states and the surrounding domestic and transnational society in which they are embedded critically shapes state behavior by influencing the social purposes underlying state preferences—can be restated in terms of three core assumptions. These assumptions are appropriate foundations of any social theory of IR: they specify the nature of societal actors, the state, and the international system.

Assumption 1: The Primacy of Societal Actors

The fundamental actors in international politics are individuals and private groups, who are on the average rational and risk-averse and who organize exchange and collective action to promote differentiated interests under constraints imposed by material scarcity, conflicting values, and variations in societal influence.

Liberal theory rests on a “bottom-up” view of politics in which the demands of individuals and societal groups are treated as analytically prior to politics. Political action is embedded in domestic and transnational civil society, understood as an aggregation of boundedly rational individuals with differentiated tastes, social commitments, and resource endowments. Socially differentiated individuals define their material and ideational interests independently of politics and then advance those interests through political exchange and collective action.⁶ Individuals and groups are assumed to act rationally in pursuit of material and ideal welfare.⁷

For liberals, the definition of the interests of societal actors is theoretically central. Liberal theory rejects the utopian notion that an *automatic* harmony of interest exists among individuals and groups in society; scarcity and differentiation introduce an inevitable measure of competition. Where social incentives for exchange and collective action are perceived to exist, individuals and groups exploit them: the greater the expected benefits, the stronger the incentive to act. In pursuing these goals, individuals are on the average risk-averse; that is, they strongly defend existing investments but remain more cautious about assuming cost and risk in pursuit of new gains. What is true about people on the average, however, is not necessarily true in every case: some individuals in any given society may be risk-acceptant or irrational.

Liberal theory seeks to generalize about the social conditions under which the behavior of self-interested actors converges toward cooperation or conflict. Conflictual societal demands and the willingness to employ coercion in pursuit of them are associated with a number of factors, three of which are relevant to this discussion: divergent fundamental beliefs, conflict over scarce material goods, and inequalities in political power. Deep, irreconcilable differences in beliefs about the provision of public goods, such as borders, culture, fundamental political institutions, and local social practices, promote conflict, whereas complementary beliefs promote harmony and cooperation. Extreme scarcity tends to exacerbate conflict over resources by increasing the willingness of social actors to assume cost and risk to obtain them. Relative abundance, by contrast, lowers the propensity for conflict by providing the opportunity to satisfy wants without inevitable conflict and giving certain individuals and groups more to defend. Finally, where inequalities in societal influence are large, conflict is more likely. Where social power is equitably distributed, the costs and benefits of actions are more likely to be internalized to individuals—for example, through the existence of complex, cross-cutting patterns of mutually beneficial interaction or strong and legitimate domestic political institutions—and the incentive for selective or arbitrary coercion is dampened. By contrast, where power asymmetries permit groups to evade the costs of redistributing goods, incentives arise for exploitative, rent-seeking behavior, even if the result is inefficient for society as a whole.⁸

6. This does not imply a “pre-social” conception of the individual unencumbered by nation, community, family, or other collective identities but only that these identities enter the political realm when individuals and groups engage in political exchange on the basis of them; see, for example, Coleman 1990.

7. Kant 1991, 44.

8. Milgrom and Roberts 1990, 86–87.

Assumption 2: Representation and State Preferences

States (or other political institutions) represent some subset of domestic society, on the basis of whose interests state officials define state preferences and act purposively in world politics.

In the liberal conception of domestic politics, the state is not an actor but a representative institution constantly subject to capture and recapture, construction and reconstruction by coalitions of social actors. Representative institutions and practices constitute the critical “transmission belt” by which the preferences and social power of individuals and groups are translated into state policy. Individuals turn to the state to achieve goals that private behavior is unable to achieve efficiently.⁹ Government policy is therefore constrained by the underlying identities, interests, and power of individuals and groups (inside and outside the state apparatus) who constantly pressure the central decision makers to pursue policies consistent with their preferences.

This is not to adopt a narrowly pluralist view of domestic politics in which all individuals and groups have equal influence on state policy, nor one in which the structure of state institutions is irrelevant. No government rests on universal or unbiased political representation; every government represents some individuals and groups more fully than others. In an extreme hypothetical case, representation might empower a narrow bureaucratic class or even a single tyrannical individual, such as an ideal-typical Pol Pot or Josef Stalin. Between theoretical extremes of tyranny and democracy, many representative institutions and practices exist, each of which privileges particular demands; hence the nature of state institutions, alongside societal interests themselves, is a key determinant of what states do internationally.

Representation, in the liberal view, is not simply a formal attribute of state institutions but includes other stable characteristics of the political process, formal or informal, that privilege particular societal interests. Clientalistic authoritarian regimes may distinguish those with familial, bureaucratic, or economic ties to the governing elite from those without. Even where government institutions are formally fair and open, a relatively inegalitarian distribution of property, risk, information, or organizational capabilities may create social or economic monopolies able to dominate policy. Similarly, the way in which a state recognizes individual rights may shape opportunities for voice.¹⁰ Certain domestic representational processes may tend to select as leaders individuals, groups, and bureaucracies socialized with particular attitudes toward information, risk, and loss. Finally, cost-effective exit options, such as emigration, noncompliance, or the transfer of assets to new jurisdictions or uses, insofar as they constrain governments, may be thought of as substitutes for formal representation.¹¹

9. Representative political institutions and practices result from prior contracts and can generally be taken for granted in explaining foreign policy; but where the primary interests and allegiances of individuals and private groups are transferred to subnational or supranational institutions empowered to represent them effectively, a liberal analysis would naturally shift to these levels.

10. Doyle 1997, 251–300.

11. North and Thomas 1973, 87.

Societal pressures transmitted by representative institutions and practices alter “state preferences.” This term designates an ordering among underlying substantive outcomes that may result from international political interaction. Here it is essential—particularly given the inconsistency of common usage—to avoid conceptual confusion by keeping state “preferences” distinct from national “strategies,” “tactics,” and “policies,” that is, the particular transient bargaining positions, negotiating demands, or policy goals that constitute the everyday currency of foreign policy. State preferences, as the concept is employed here, comprise a set of fundamental interests defined across “states of the world.” Preferences are by definition causally independent of the strategies of other actors and, therefore, prior to specific interstate political interactions, including external threats, incentives, manipulation of information, or other tactics. By contrast, strategies and tactics—sometimes also termed “preferences” in game-theoretical analyses—are policy options defined across intermediate political aims, as when governments declare an “interest” in “maintaining the balance of power,” “containing” or “appeasing” an adversary, or exercising “global leadership.”¹² Liberal theory focuses on the consequences for state behavior of shifts in fundamental preferences, not shifts in the strategic circumstances under which states pursue them.

Representative institutions and practices determine not merely which social coalitions are represented in foreign policy, but how they are represented. Two distinctions are critical. First, states may act in either a unitary or “disaggregated” way. In many traditional areas of foreign policy, “politics stops at the water’s edge,” and there is strong coordination among national officials and politicians. In other areas, the state may be “disaggregated,” with different elements—executives, courts, central banks, regulatory bureaucracies, and ruling parties, for example—conducting semiautonomous foreign policies in the service of disparate societal interests.¹³ Second, domestic decision making may be structured so as to generate state preferences that satisfy a strong rationality condition, such as transitivity or strict expected utility maximization, or so as to satisfy only the weaker rationality criterion of seeking efficient means. Recently, formal theorists have derived specific conditions under which nonunitary state behavior can be analyzed “as if” it were unitary and rational, implying that much superficially “nonrational” or “nonunitary” behavior should actually be understood in terms of shifting state preferences.¹⁴

Taken together, assumptions 1 and 2 imply that states do not automatically maximize fixed, homogeneous conceptions of security, sovereignty, or wealth per se, as realists and institutionalists tend to assume. Instead they are, in Waltzian terms, “functionally differentiated”; that is, they pursue particular interpretations and combinations of security, welfare, and sovereignty preferred by powerful domestic groups

12. The phrase “country A changed its preferences in response to an action by country B” is thus a misuse of the term as defined here, implying less than consistently rational behavior; see Sebenius 1991, 207.

13. See Slaughter 1995; and Keohane and Nye 1971.

14. Achen 1995.

enfranchised by representative institutions and practices.¹⁵ As Arnold Wolfers, John Ruggie, and others have observed, the nature and intensity of national support for any state purpose—even apparently fundamental concerns like the defense of political and legal sovereignty, territorial integrity, national security, or economic welfare—varies decisively with the social context.¹⁶ It is not uncommon for states knowingly to surrender sovereignty, compromise security, or reduce aggregate economic welfare. In the liberal view, trade-offs among such goals, as well as cross-national differences in their definition, are inevitable, highly varied, and causally consequential.¹⁷

Assumption 3: Interdependence and the International System

The configuration of interdependent state preferences determines state behavior.

For liberals, state behavior reflects varying patterns of state preferences. States require a “purpose,” a perceived underlying stake in the matter at hand, in order to provoke conflict, propose cooperation, or take any other significant foreign policy action. The precise nature of these stakes drives policy. This is not to assert that each state simply pursues its ideal policy, oblivious of others; instead, each state seeks to realize *its* distinctive preferences under varying constraints imposed by the preferences of *other states*. Thus liberal theory rejects not just the realist assumption that state preferences must be treated as if naturally conflictual, but equally the institutionalist assumption that they should be treated as if they were partially convergent, compromising a collective action problem.¹⁸ To the contrary, liberals causally privilege variation in the configuration of state preferences, while treating configurations of capabilities and information as if they were either fixed constraints or endogenous to state preferences.

The critical theoretical link between state preferences, on the one hand, and the behavior of one or more states, on the other, is provided by the concept of policy interdependence. Policy interdependence is defined here as the set of costs and benefits created for foreign societies when dominant social groups in a society seek to realize their preferences, that is, the pattern of transnational externalities resulting from attempts to pursue national distinctive purposes. Liberal theory assumes that the pattern of interdependent state preferences imposes a binding constraint on state behavior.

Patterns of interdependence or externalities induced by efforts to realize state preferences can be divided into three broad categories, corresponding to the strategic situation (the pattern of policy externalities) that results.¹⁹ Where preferences are naturally compatible or harmonious, that is, where the externalities of unilateral poli-

15. Ruggie 1983, 265.

16. Ruggie 1982, 1983.

17. On the contradictions within Waltz's effort to avoid these ambiguities, see Baldwin 1997, 21–22.

18. Keohane 1984, 10; 1986, 193. Note that these are all “as if” assumptions. The world must be consistent with them, but need not fulfill them precisely.

19. See Stein 1982; Snidal 1985; and Martin 1992.

cies are optimal for others (or insignificant), there are strong incentives for coexistence with low conflict.

Where, by contrast, underlying state preferences are zero-sum or deadlocked, that is, where an attempt by dominant social groups in one country to realize their preferences through state action *necessarily* imposes costs (negative externalities) on dominant social groups in other countries, governments face a bargaining game with few mutual gains and a high potential for interstate tension and conflict. The decisive precondition for costly attempts at coercion, for example, is neither a particular configuration of power, as realists assert, nor of uncertainty, as institutionalists maintain, but a configuration of preferences conflictual enough to motivate willingness to accept high cost and risk.²⁰ In other words, intense conflict requires that an aggressor or revisionist state advance demands to which other states are unwilling to submit. Revisionist preferences—underlying, socially grounded interests in revising the status quo—are distinct from revisionist “strategies,” that is, a need to alter the status quo to protect enduring interests under new strategic circumstances. Liberals focus on the former, realists (and institutionalists) on the latter. Hence while both theories predict security conflict, they do so under different circumstances. For example, increased military spending in response to an adversary’s arms buildup is a change in strategy with fixed preferences consistent with realism; increased spending initiated by a new ruling elite ideologically committed to territorial aggrandizement is a preference-induced change in strategy consistent with liberalism.²¹

Where, finally, motives are mixed such that an exchange of policy concessions through coordination or precommitment can improve the welfare of both parties relative to unilateral policy adjustment (i.e., a collective action problem), states have an incentive to negotiate policy coordination. Games like coordination, assurance, prisoner’s dilemma, and suasion have distinctive dynamics, as well as impose precise costs, benefits, and risks on the parties. Within each qualitative category, incentives vary further according to the intensity of preferences.

For liberals, the form, substance, and depth of cooperation depends directly on the nature of these patterns of preferences. Hence where “Pareto-inefficient” outcomes are observed—trade protection is a commonly cited example—liberals turn first to countervailing social preferences and unresolved domestic and transnational distributional conflicts, whereas institutionalists and realists, respectively, turn to uncertainty and particular configurations of interstate power.²²

Liberal Theory as Systemic Theory

These liberal assumptions, in particular the third—in essence, “what states want is the primary determinant of what they do”—may seem commonsensical, even tautological. Yet mainstream IR theory has uniformly rejected such claims for the past

20. Note that some rationalist analyses dismiss such risk-acceptant preferences as “irrational”; see Fearon 1995.

21. For example, Van Evera 1990–91, 32.

22. Grieco’s study of NTB regulation is discussed later.

half-century. At the heart of the two leading contemporary IR theories, realism and institutionalism, is the belief that state behavior has *ironic* consequences.²³ Power politics and informational uncertainty constrain states to pursue second- and third-best strategies strikingly at variance with their underlying preferences.²⁴ Thus varying state preferences should be treated as if they were irrelevant, secondary, or endogenous. In his classic definition of realism Morgenthau contrasts it to “two popular fallacies: the concern with motives and the concern with ideological preferences.”²⁵ Neorealist Waltz’s central objection to previous, “reductionist” theories is that in world politics “results achieved seldom correspond to the intentions of actors”; hence “no valid generalizations can logically be drawn” from an examination of intentions.²⁶ Though the interests it assumes are different, Keohane’s institutionalism relies on a similar as if assumption: it “takes the existence of mutual interests as given and examines the conditions under which they will lead to cooperation.”²⁷ In short, Powell observes that “structural theories . . . lack a theory of preferences over outcomes.”²⁸ What states do is primarily determined by strategic considerations—what they can get or what they know—which in turn reflect their international political environment. In short, variation in means, not ends, matters most.²⁹

Liberal theory reverses this assumption: *Variation in ends, not means, matters most*. Realists and institutionalists, as well as formal theorists who seek to integrate the two, criticize this core liberal assumption because it appears at first glance to rest on what Waltz terms a “reductionist” rather than a “systemic” understanding of IR. In other words, liberalism appears to be a purely “domestic” or “unit-level” theory that ignores the international environment. In particular, realists are skeptical of this view because it appears at first glance to be grounded in the utopian expectation that every state can do as it pleases. This commonplace criticism is erroneous for two important reasons.

First, state preferences may reflect patterns of transnational *societal* interaction. While state preferences are (by definition) invariant in response to changing interstate political and strategic circumstances, they may well vary in response to a changing transnational *social* context. In the political economy for foreign economic policy,

23. What about Marxism? Marxism provides distinctive normative insights (Doyle 1997), but its non-teleological positive assumptions—the centrality of domestic economic interests, the importance of transnational interdependence, the state as a representative of dominant social forces—are quite compatible with this restatement of liberalism. For examples, see the contribution by Frieden and Rogowski in Keohane and Milner 1996.

24. Waltz 1979, 60–67, 93–97.

25. The resulting “autonomy of the political” in geopolitics gives realism its “distinctive intellectual and moral attitude”; see Morgenthau 1960, 5–7. The fact that Morgenthau distinguished nonrealist elements of his own thought illustrates a further danger of defining realism not in terms of social scientific assumptions, but in terms of its intellectual history, that is, assuming that everything a “realist” wrote constitutes a coherent realist theory; see Morgenthau 1960, 5, 227.

26. Waltz follows Morgenthau almost verbatim: “Neo-realism establishes the autonomy of international politics and thus makes a theory about it possible”; see Waltz 1979, 29, and also 65–66, 79, 90, 108–12, 196–98, 271.

27. See Keohane 1984, 6; and Hellmann and Wolf 1993.

28. Powell 1994, 318.

29. Ruggie 1983, 107–10.

for example, social demands are derived not simply from “domestic” economic assets and endowments, but from the relative position of those assets and endowments in global markets. Similarly, the position of particular values in a transnational cultural discourse may help define their meaning in each society. In this regard, liberalism does not draw a strict line between domestic and transnational levels of analysis.³⁰

A second and more Waltzian reason why the charge of “reductionism” is erroneous is that according to liberal theory the expected behavior of any single state—the strategies it selects and the systemic constraints to which it adjusts—reflect not simply its own preferences, but the configuration of preferences of *all* states linked by patterns of significant policy interdependence. National leaders must always think systemically about their position within a structure composed of the preferences of other states. Since the pattern of and interdependence among state preferences, like the distribution of capabilities and the distribution of information and ideas, lies outside the control of any single state, it conforms to Waltz’s own definition of systemic theory, whereby interstate interactions are explained by reference to “how [states] stand in relation to one another.”³¹ Hence the causal preeminence of state preferences does not imply that states always get what they want.

One implication of liberalism’s systemic, structural quality is that, contra Waltz, it can explain not only the “foreign policy” goals of individual states but the “systemic” outcomes of interstate interactions. That systemic predictions can follow from domestic theories of preferences should be obvious simply by inspecting the literature on the democratic peace.³² In addition, by linking social purpose to the symmetry and relative intensity of state preferences, liberalism offers a *distinctive conception of political power* in world politics—something traditionally considered unique to realist theory.

The liberal conception of power is based on an assumption *more* consistent with basic theories of bargaining and negotiation than those underlying realism: namely that the willingness of states to expend resources or make concessions is itself primarily a function of preferences, not capabilities. In this view—the foundation of Nash bargaining analysis, which has been extended to IR by Albert Hirshman, Keohane, Joseph Nye, and others—bargaining outcomes reflect the nature and relative intensity of actor preferences.³³ The “win-set,” the “best alternative to negotiated agreement,” the pattern of “asymmetrical interdependence,” the relative opportunity cost of forgoing an agreement—all these core terms in negotiation analysis refer to different aspects of the relationship of bargaining outcomes on the preference functions of the actors. The capability-based power to threaten central to realism enters the equation in specific circumstances and only through linkage to threats and side-payments. Even where capability-based threats and promises are employed, preference-based determinants of the tolerance for bearing bargaining costs, including differential tem-

30. For example, see Gourevitch 1976.

31. Ruggie 1983, 90–91.

32. For a more general argument, see Elman 1996, especially 58–59.

33. See Harsanyi 1977; Hirshman 1945; and Keohane and Nye 1987, 733.

poral discount rates, risk-acceptance, and willingness to accept punishment, remain central.³⁴

The liberal claim that the pattern of interdependence among state preferences is a primary determinant not just of individual foreign policies, but of systemic outcomes, is commonsensical. Nations are rarely prepared to expend their entire economic or defense capabilities, or to mortgage their entire domestic sovereignty, in pursuit of any single foreign policy goal. Few wars are total, few peaces Carthaginian. Treating the willingness of states to expend resources in pursuit of foreign policy goals as a strict function of existing capabilities thus seems unrealistic. On the margin, the binding constraint is instead generally “resolve” or “determination”—the *willingness* of governments to mobilize and expend social resources for foreign policy purposes.

Extensive empirical evidence supports this assumption. Even in “least likely” cases, where political independence and territorial integrity are at stake and military means are deployed, relative capabilities do not necessarily determine outcomes. A “strong preference for the issue at stake can compensate for a deficiency in capabilities,” as demonstrated by examples like the Boer War, Hitler’s remilitarization of the Rhineland, Vietnam, Afghanistan, and Chechnya. In each case the relative intensity of state preferences reshaped the outcome to the advantage of the “weak.”³⁵ Such examples suggest that the liberal view of power politics, properly understood, generates plausible explanations not just of harmony and cooperation among nations, but of the full range of phenomena central to the study of world politics, from peaceful economic exchange to brutal guerrilla warfare.

Variants of Liberal Theory

Like their realist and institutionalist counterparts, the three core liberal assumptions introduced earlier are relatively thin or content-free. Taken by themselves, they do not define a single unambiguous model or set of hypotheses, not least because they do not specify precise sources of state preferences. Instead they support three separate variants of liberal theory, termed here ideational, commercial, and republican liberalism. Each rests on a distinctive specification of the central elements of liberal theory: social demands, the causal mechanisms whereby they are transformed into state preferences, and the resulting patterns of national preferences in world politics. Ideational liberalism focuses on the compatibility of social preferences across fundamental collective goods like national unity, legitimate political institutions, and socio-economic regulation. Commercial liberalism focuses on incentives created by opportunities for transborder economic transactions. Republican liberalism focuses on the nature of domestic representation and the resulting possibilities for rent-seeking behavior.

34. See Raiffa 1982; Sebenius 1991; Evans, Jacobson, and Putnam 1993; and Keohane and Nye 1977.

35. See Morrow 1988, 83–84; and Mack 1975.